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Dealing with constraints in information

Earlier in this book, we showed the lack of information about the economy as a root cause of why public policy fails. What is a policymaker to do, when faced with these constraints?

Scepticism on public data

In India, we cannot assume that when data is released by a government agency, it is sound. The uncritical use of data is a major flaw that is hampering numerous research papers that study Indian economics, and policymakers have been often misled when they have relied on public statistics. [1]

We must then evaluate the soundness of each public data source before commencing to use it. Each of us needs to commit considerable resources to *evaluating* the soundness of various kinds of statistics that are available in our field.

Better use of private data sources and anecdata

Policymakers must rely more on market-based sources of information that help the policy correct itself. In most sectors of the economy, market participants are producing information that they mostly keep to themselves